No. SD 28737

IN THE MISSOURI COURT OF APPEALS SOUTHERN DISTRICT

BOBBY ROUSE, PLAINTIFF, PATRICIA WARD AND DARRELL WOODS, INDIVIDUALLY AND IN THEIR CAPACITY AS PLAINTIFF AD LITEM FOR NONA WOODS,
Plaintiffs/Respondents,

v.

NATIONAL HEALTHCARE CORPORATION, ET AL., APPELLANTS.
CHARLESTON MANOR NURSING, LLC, ET AL.,
Defendants/Appellants

Appeal from Circuit Court of Dunklin County
Case No. 05DU-CC00085, The Honorable Stephen R. Sharp

APPELLANTS' REPLY BRIEF

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ARGUMENT

Respondent asserts the trial court's denial of a motion to enforce arbitration filed by appellants National HealthCare Corporation, National Healthcare, L.P., NHC Healthcare/Kennett, L.L.C. and NHC, Inc. (hereafter collectively "Appellants" or "NHC") was appropriate and puts forth several arguments in support of upholding the trial court's ruling. Appellants address each argument in turn. For the reasons stated in Appellant's Brief and supplemented below, Appellants request this Court reverse the trial court's denial of their motion to arbitrate and immediately compel arbitration pursuant to the terms of the arbitration agreement (hereinafter the "Agreement") included in the admission contract (hereinafter the "Contract") executed by Nona Woods at the time of her admission to NHC Healthcare/Kennett.

I. THE ARBITRATION AGREEMENT IS VALID AND ENFORCEABLE.

A. The Agreement is Not an Unconscionable Contract of Adhesion.

As discussed in further detail in section I(C) of Appellant's Brief, the Agreement is not an unconscionable contract of adhesion. Respondents boldly assert, "If this Court finds Defendants' arbitration provision to be an adhesion contract, then it is unenforceable under Missouri law." (Respondents' Brief, p. 8). This assertion is clearly contrary to well-established Missouri jurisprudence.

Contracts of adhesion, or "form" contracts, are not "automatically unenforceable," as such a rule would be "completely unworkable" *Swain v. Auto Services*, 128 S.W.3d 103, 107 (Mo. App. 2003). Rather, to be deemed unenforceable, adhesion contracts must be "unconscionable" in that they are such that "no man in his senses and not under delusion would make, on the one hand, and as no honest and fair man would accept on the other." *Id.* However, in this portion of Respondents' brief, Respondents' argument contains no reference to any specific term in the arbitration provision which they believe is unconscionable.

Instead of identifying any specific term in the arbitration provision which Respondents' believe is unconscionable, this portion of Respondents' brief focuses on the process by which the admission Contract was executed. Respondents suggest Respondent Bobby Rouse did not know the contents of the Contract because she was 61 years old, possessed a 10th Grade education, and, although she "tried to read the contract," the representative of NHC who reviewed the contract with her "was going so fast that Mrs. Rouse could not keep up." (Respondent's Brief, pp. 9-10). Furthermore, Respondents argue that Ms. Woods was "lured" into signing and that the thirteen-page admissions contract is "rife with legalese." (Respondent's Brief, p. 13, 15).

While Respondents couch their argument in terms of an unconscionable arbitration provision, they suggest the admissions contract, as a whole, is invalid because Respondent Rouse and Ms. Woods were coerced into signing something they did not understand. Even ignoring the fact that, under Missouri law, a person is bound by the terms of a contract she signs and will not be allowed to argue she is ignorant as to its contents, *Heartland Health Systems v. Chamberlain*, 871 S.W.2d 8, 10 (Mo. App. 1993), Respondent's argument still does not support the trial court's denial of NHC's motion to enforce arbitration. As clearly enunciated by the United States Supreme Court, "regardless of whether the challenge is brought in federal or state court, a challenge to the validity of the contract as a whole, and not specifically to the arbitration clause, must go to the arbitrator." *Buckeye Check Cashing, Inc. v. Cardenga*, 546 U.S. 440, 449 (2006) (reversing the trial court's denial of defendants' motion to compel arbitration). Since the Respondents have challenged the agreement as a whole, they must submit their arguments to the arbitrator, not the trial court.

B. The Agreement is Not Substantively Unconscionable.

Respondents suggest the Agreement is unconscionable because it does not identify the "oppressive fees" associated with arbitration. (Respondents' Brief, pp. 17-18). As the sole authority in support for their argument, Respondents cite *Green Tree v. Randolph*, 531 U.S.79 (2000). However, the United States Supreme Court in *Green Tree* explicitly

stated that the failure of an arbitration agreement to identify costs associated with arbitration is not a basis for invalidating the agreement. *Id.* at 92 ("The Court of Appeals therefore erred in deciding that the arbitration agreement's silence with respect to costs and fees rendered it unenforceable").

In *Green Tree*, the plaintiff argued the possible costs associated with arbitration would be cost prohibitive and effectively deny her the right to assert a statutory claim under the Truth in Lending Act for defendants' failure to disclose a finance charge. *Id.* at 90. In support of her claim, the plaintiff identified reports of average costs of arbitration, but failed to establish the specific costs for which the plaintiff would be responsible. *Id.*, fn.6. The Court found the plaintiff failed to meet her burden of establishing the costs of arbitration would have been prohibitively expensive. *Id.*

In their brief, Respondent's identify various costs potentially associated with arbitrating this dispute. For example, Respondent's point to a purported $2,000 administrative fee imposed by the AHLA. (Respondents' Brief, p. 20). Respondents assert such fees are unreasonable compared to the cost of filing a complaint in Dunklin County, Missouri. *Id.*

However, Respondents' arguments fail to establish the costs of arbitrating this dispute are prohibitively expensive. As was the case in *Green Tree*, Respondents fail to establish the portion of this cost for which Respondents would be responsible. Additionally, Respondents' analysis is limited to comparing the possible arbitration fees with the cost of filing a claim. Such comparison fails to take into account the cost savings associated with arbitration over the legal costs associated with prolonged litigation. *See Southland Corp. v. Keating*, 465 U.S. 1, 7 (1984) (prolonged litigation is one of the risks which arbitration agreements seek to avoid).

C. The Agreement is Capable of Performance.

Respondents argue the Agreement should not be enforced because a material term is incapable of enforcement, suggesting recent changes in AHLA rules will prevent arbitration of Respondents' claims. However, as discussed in further detail in section I(D)

of Appellant's Brief, the amended AHLA rules specifically allow for court-ordered arbitration of plaintiff's claims. Therefore, if Appellant's motion to enforce arbitration is granted and Respondents are ordered to submit their claims to the AHLA, the terms of the Agreement will be capable of performance. Accordingly, this argument asserted by Respondents lacks merit.

II. THE AGREEMENT SHOULD BE ENFORCED PURSUANT TO THE FEDERAL ARBITRATION ACT (FAA).

A. The Parties' Choice of Law Provision Does Not Prevent Enforcement of the Agreement.

As discussed in detail in section II(C) of Appellant's Brief, the FAA "creates a body of federal substantive law that applies in both state and federal courts." *Kirby v. Grand Crowne Travel Network, LLC*, 229 S.W.3d 253, 254 (Mo. App. 2007). In *Kirby*, this Court recognized the FAA's preemption of Missouri law. *Id.* The plaintiffs in *Kirby* argued that the defendants could not enforce arbitration because the contract containing an arbitration provision was invalid under various Missouri statutory provisions. *Id.* This Court found because the FAA applied to the arbitration agreement, the arbitration was "mandated by a preemptive federal law." *Id.* at 255. Accordingly, Missouri statutory provisions "cannot be applied to circumvent a FAA-enforceable arbitration agreement." *Id.* This Court reversed the trial court's denial of the defendant's motion to compel arbitration with instructions to stay the proceedings pending arbitration. *Id. See also Bunge Corp. v. Perryville Feed & Produce, Inc.*, 685 S.W.2d 837 (Mo. banc 1985), *Duggan v. Zip Mail Services, Inc.*, 920 S.W.2d 200 (Mo. App. 1996), and *Southland Corp. v. Keating*, 465 U.S. 1 (1984).

Despite established precedent that enforcement of arbitration agreements under the FAA cannot be prevented by provisions of state law, Respondents suggest an exception has been created by *Volt Information Sciences, Inc. v. Board of Trustees*, 489 U.S. 468 (1989), when the arbitration agreement contains a choice of law provision. (Respondents' Brief, p. 23). However, *Volt* does not relate to the parties' ability to enforce arbitration

agreements, but rather, recognizes that the parties may "specify by contract the rules under which that arbitration will be conducted." *Volt*, 489 U.S. at 479.

In *Volt*, the parties entered into an arbitration agreement which provided the contract to be governed by the laws of California. *Id.* at 470. The plaintiff asserted claims against both Volt and against others who were not parties to the arbitration agreement. *Id.* Volt filed a motion to compel arbitration and, in response, the plaintiff moved to stay arbitration pursuant to a California statue, which permitted a stay of arbitration pending resolution of the court proceeding in cases where there is a risk of conflicting rulings. *Id.* The *Volt* Court held the stay was appropriate because California law governed the procedure applicable to the arbitration pursuant to the terms of the arbitration agreement. *Id.* at 479.

The Court reasoned the FAA was enacted to ensure the enforceability of arbitration agreements according to their terms. *Id.* at 476. Accordingly, "the FAA pre-empts state laws which require a judicial forum for the resolution of claims which the contracting parties agreed to resolve by arbitration." *Id.* at 478 (citing with approval *Southland Corp. v. Keating*, 465 U.S. 1, 10 (1984) and *Perry v. Thomas*, 482 U.S. 483, 490 (1987) which held FAA pre-empted state statutes which rendered agreements to arbitrate as unenforceable). However, because "[t]here is no federal policy favoring arbitration under a certain set of procedural rules," the parties may "specify by contract the rules under which that arbitration will be conducted. *Id.* at 476, 479.

As clearly established by *Volt*, while a party may use a choice of law provision to enforce a state law arbitration procedure, it may not invoke a choice of law provision to argue the agreement is unenforceable under the FAA. Accordingly, Respondent's argument is without merit.

B. The Agreement Involves Interstate Commerce.

As discussed in detail in section II(A) of Appellant's Brief, agreements to arbitrate are enforceable pursuant to the FAA when they "involve commerce." *See* 9 U.S.C. § 2. The FAA's requirement that the contract or transaction involves commerce is a minimal

threshold. The United States Supreme Court in *Allied-Bruce Terminix Co., Inc. v. Dobson*, stated this FAA language should be interpreted "as broadly as the words 'affecting commerce' . . . a full exercise of constitutional power." 513 U.S. 265, 277 (1995). Accordingly, a contract comes under the Federal Arbitration Act so long as it simply relates to interstate commerce. *Woermann Construction Co. v. Southwestern Bell Telephone Co.*, 846 S.W.2d 790, 792 (Mo. App. 1993). Furthermore, the relationship to commerce does not need to be substantial. *Id.*.

As detailed in Appellant's Brief, this Court has recognized an arbitration agreement "involves commerce" when the contracting parties are from different states. *Kirby v. Grand Crowne Travel Network, LLC*, 229 S.W.3d 253, 254 (Mo. App. 2007); *see also Woermann*, 846 S.W.2d at 243. Here, the Contract and Agreement satisfy the FAA's requirement because the decedent and some NHC Defendants are from different states. (LF 14-15).

Without addressing this Court's opinion in *Kirby*, Respondents cite cases from other states. While Appellants have also supported their brief with a host of cited opinions from other courts, the court's consideration of persuasive authority is unnecessary when, as is the case here, mandatory authority is instructive on the issue.

Furthermore, under the terms of the Contract, the parties understood that decedent's care would be paid by Medicare (LF 107), and, as alleged by Respondents and admitted by Appellants, Appellants accepted Medicare and Medicaid funds (LF 32, 47, 61, 75). The United States Supreme Court has recognized that the commerce requirement is satisfied when healthcare services are covered by out-of-state sources of payment. *Summit Health, Ltd. v. Pinhas*, 500 U.S. 322, 329 (1991). Therefore, in addition to the residency of the parties, the commerce requirement is satisfied by the parties' Medicare participation.

Accordingly, this Court should follow its opinion in *Kirby* and find the Agreement involves commerce, or alternatively find the requirement is satisfied by the parties'

participation in Medicare. As the involving commerce requirement is satisfied, the Agreement should be enforced pursuant to the FAA.

C. The FAA Preempts RSMo. 435.460 and All Other Missouri Law Which Prevents Enforcement of Agreements to Arbitrate.

Respondents suggest the Agreement is unenforceable because it fails to comply with certain Missouri statutory provisions including language and formatting requirements of RSMo. § 435.460. However, as addressed in section II(A) above, any state law requirements which would prevent enforcement of arbitration agreements are pre-empted by the FAA. Additionally, this argument was already fully addressed in section II(C) of Appellants' brief. Therefore, no further discussion is warranted.

III. WRONGFUL DEATH BENEFICIARIES SHOULD BE BOUND BY AGREEMENTS TO ARBITRATE.

As discussed in detail in section III of Appellant's Brief, Respondents should be bound by the Agreement as their claims are derivative of those the decedent could have brought on her own behalf. MO. REV. STAT. § 537.080.1; *State ex rel. Burns v. Whittington*, 219 S.W.3d 224 (Mo. banc 2007). Furthermore, numerous other jurisdictions have recognized the derivative nature of such claims and required enforcement of arbitration agreements under similar circumstances. As the specific contentions of Respondents have already been fully addressed in section III of Appellants' brief, no further discussion is warranted.

IV. DEFENDANTS HAVE NOT WAIVED THE RIGHT TO ENFORCE ARBITRATION.

A party waives its right to arbitrate only if it (1) had knowledge of the existing right to arbitrate; (2) acted inconsistently with that right, and (3) prejudiced the party opposing arbitration. *Mueller v. Hopkins*, 5 S.W.3d 182, 187 (Mo. App. 1999). There is, however, a strong presumption against any such waiver. *Id.* Any doubts as to whether a party has waived its right to arbitrate must be resolved in favor of arbitration. *Id.*

In *Mueller*, the parties engaged in "extensive discovery" for more than six months before the defendant first raised the issue of the parties' arbitration agreement. *Id.* In support of his waiver argument, the plaintiff claimed he was prejudiced by the defendant's delay in seeking arbitration. *Id.* Specifically, he argued the delay caused unnecessary time and expense in that "he responded interrogatories, produced a substantial number of documents, researched and responded to [the defendant's] affirmative defenses, and incurred substantial legal fees in doing so." *Id.* at 187-88. The Court of Appeals found that the "[d]elay in seeking to compel arbitration does not itself constitute prejudice." *Id.* In fact, the "fruits of the discovery and legal research may be usable in arbitration." *Id.* at 188. Accordingly, the plaintiff was not prejudiced by the more than six-month delay in defendant's motion to compel arbitration. *Id.* (distinguishing the case from the two-year delay in *Reis v. Peabody Coal Co.*, 935 S.W.2d 625 (Mo. App. 1996)).

In the present case, Appellants had knowledge of their right to arbitrate and have not acted inconsistently with that right. Respondents filed their petition on August 18, 2005. (LF 12). Appellants filed their motion to compel arbitration less than three months later on November 7, 2005. (LF 95). Furthermore, despite Respondents' claim that they were prejudiced by responding to Appellant's discovery requests, such responses were provided after Appellants filed their motion to compel arbitration. (LF 4). Therefore, in accordance with *Mueller*, Respondents have not been prejudiced and, accordingly, Appellants have not waived their right to arbitrate.

V. THE ARBITRATION AGREEMENT SHOULD APPLY TO CLAIMS ASSERTED AGAINST ALL DEFENDANTS.

Respondents assert the Agreement, if enforceable, should apply only to claims asserted by NHC Healthcare/Kennett. The claims asserted by Respondents against Appellants all relate to allegations of deficient care received by decedent while she was a resident at NHC Healthcare/Kennett (LF 24-28, 32-37). The Contract was clearly intended to govern the care the decedent was to receive at the facility. (LF 102-103).

Under the terms of the admission contract executed by decedent, she agreed to submit "all disputes," including "contract, tort, statutory, regulatory, and other claims." (LF 113). The claims asserted by Respondents certainly fall within the definition of disputes as defined in the Agreement. Furthermore, no provision of the Agreement limits decedent's obligation to arbitrate to claims asserted against NHC Healthcare/Kennett. (LF 112-113). Accordingly, as claims against all Appellants are derived from the alleged deficient care under the Contract, Respondents must submit all claims to arbitration, pursuant to the terms of the Agreement.

Whether a dispute is covered by an arbitration provision is left to the courts as a question of law. *Dunn Indus. Group, Inc. v. City of Sugar Creek*, 112 S.W.3d 421, 428 (Mo. banc 2003). "A motion to compel arbitration of a particular dispute should not be denied unless it may be said with positive assurance that the arbitration clause is not susceptible of an interpretation that covers the asserted dispute." *Id.* at 429. Doubts as to arbitrability should be resolved in favor of coverage. *Id.*

As no authority cited by Respondents establishes as a matter of law that the provisions of the Agreement do not cover Respondents claims against all Appellants, any doubts about coverage should be construed in favor of arbitration. Accordingly, the trial court's denial of Appellants' motion to enforce arbitration should be reversed and arbitration compelled as to all claims asserted against Appellants.

VI. THE TRIAL COURT'S RULING SHOULD BE REVERSED AND ARBITRATION IMMEDIATELY ENFORCED.

Respondents assert that, even if the Appellant's right to enforce arbitration was not waived and the Agreement is otherwise enforceable, they should be granted the right to conduct additional discovery to further support their arguments. However, as noted in the arguments in Appellant's brief and the supplemental arguments above, the record already establishes sufficient evidence for a determination of whether Appellants have the right to compel Respondents to arbitrate their claims.

Furthermore, to the extent Respondents seek to bolster their arguments in challenging the validity of the Contract, such arguments are properly brought before the arbitrator, not the trial court. As stated by the U.S. Supreme Court, "regardless of whether the challenge is brought in federal or state court, a challenge to the validity of the contract as a whole, and not specifically to the arbitration clause, must go to the arbitrator." *Buckeye Check Cashing, Inc. v. Cardenga*, 546 U.S. 440, 449 (2006) (reversing the trial court's denial of defendants' motion to compel arbitration).

As no further discovery is necessary and more than three months have already passed since Appellants sought to enforce their right to arbitrate the present claims, Appellants respectfully request the trial court's denial of NHC's motion to enforce arbitration be reversed and arbitration of all claims against Appellants be immediately compelled without delay.

CONCLUSION

For all the reasons cited in Appellant's Brief and supplemented above, NHC requests this Court reverse the trial court's denial of NHC's motion to compel arbitration and enforce arbitration pursuant to the executed Agreement.

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CERTIFICATE OF COMPLIANCE

Pursuant to Missouri Rule of Civil Procedure 84.06(c), the undersigned attorney certifies that:

1. This brief includes the information required by Missouri Rule of Civil Procedure 55.03.
2. This brief complies with Missouri Rule of Civil Procedure 84.06(b).
3. This brief contains approximately 3,491 words according to the Word Count feature of Microsoft Word.

4. The submitted disk has been scanned for viruses and is virus-free.

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